# 1. The question

## One sentence

When the Fed speaks, do investors react to **what the Fed does** (rate news) or to **what the Fed knows** (economy news) — and do the two move *money* differently?

- Same announcement, two channels: a rate *action* and an information *revelation*
- Prices tell us the two are different; this project asks whether **portfolio flows** differ too
- 161 FOMC meetings, 2006–2026: CRSP mutual-fund flows across a 7-class risk ladder

Caption: the working question of the paper, in plain words.

# 2. Why it matters

- **Transmission:** if fund flows respond to economy news, communication itself reallocates capital
- **Stability:** information revelations may trigger de-risking — a communication side-effect regulators care about
- **Policy design:** forward guidance works on prices only when rates are constrained — does it work on *allocations*?

Caption: three reasons the MP/CBI distinction matters beyond asset pricing.

# 3. What's been done

| **Strand** | **What we know** |
|---|---|
| Surprise measurement | Kuttner (2001); GSS (2005): futures-based target/path shocks |
| Information vs. action | JK (2020): same-sign restriction separates MP from CBI shocks |
| Prices | BK (2005); Swanson (2021): shocks move prices; FG dominates at the ZLB |
| Flows | Froot–O'Connell–Seasholes (2001); Fecht & Kellers (2026): flows follow returns and risk appetite |

## The gap

The policy/information split has been applied to *prices*. Only one other paper applies it to *fund allocation*. Nobody asks whether rate news and economy news move *money* differently.

Caption: one page of prior work; the gap statement is the contribution setup.

# 4. What's new

1. **The split, applied to money:** first systematic evidence on whether rate news vs. economy news generate *different mutual-fund flow responses* (H4), along a risk ladder (H5)
2. **Tone matters only under forward guidance:** statement language predicts same-day prices in the FG period ($R^2 = 32.8\%$) and not outside it — previously buried mid-deck, now stated up front
3. **Honest measurement:** corrected pipeline (same-day returns, body-only texts, point-in-time fund classification, gap-aware flows) — plus a reproducible research platform

Caption: the three claims a listener should be able to repeat afterwards.

# 5. Every term, once

| Term | Meaning (one sentence each) |
|---|---|
| Surprise | The *unexpected* part of the announcement: market-implied rate priced in beforehand (ex ante) vs. what the Fed delivers (ex post) |
| Target shock | Unexpected change in the current policy rate (FF futures around the announcement) |
| Path shock | Unexpected change in expected *future* rates (Eurodollar futures) |
| MP shock | Target news when prices move *against* the rate move — pure policy action |
| CBI shock | Target news when prices move *with* the rate move — the Fed revealing what it knows |
| Tone | Net hawkish-minus-dovish words per 100 in the statement (LM dictionary) — descriptive, not a shock |
| Flow | Change in fund total net assets minus return-reinvested assets, per month |
| Risk ladder | Ordinal rank 1–7 of CRSP classes: gov bonds → small-cap equity (not a beta) |

**Worked example:** June 15, 2022 — the Fed hikes 75bp (market priced in $\approx$ 74bp $\Rightarrow$ target surprise $\approx$ 1bp); equities fall $\Rightarrow$ mostly MP shock. March 15, 2020 — cut to zero, equities *fall through the announcement* on the information content. Caption: the glossary slide; each term defined once, used consistently afterwards.

# 6. Theory in one page

## Setup

The Fed observes private signals about the economy and reveals them *with noise* in its statement (Grossman–Stiglitz 1980; Kyle 1985). Markets infer the signal from both the rate decision and the words.

- **Rate news** (rational expectations: Lucas 1972; Sargent–Wallace 1975): a policy-rule innovation — reprices discount rates immediately
- **Economy news**: changes beliefs about *future* fundamentals and uncertainty

## Prediction for money

Discount-rate news moves prices first, funds rebalance with a lag; belief news raises perceived uncertainty ⇒ de-risking along the ladder. Different news ⇒ different money.

Caption: the model skeleton — private information, noisy revelation, market inference.

# 7. Data

| Block | Content | Size |
|---|---|---|
| Meetings | FOMC statements, body-only texts (2008-12-16 and 2022-01-26 re-fetched) | 161 meetings, 2006–2026 |
| Shocks | GSS target/path (futures); JK-style MP/CBI split | 91 MP / 60 CBI meetings |
| Flows | CRSP U.S. Mutual Funds, monthly TNA and returns | 7 classes; ∼6.1M fund-months (2006–22), extended to 2026 |
| Flow rule | Reports $\leq$ 3 months apart (most CRSP funds report quarterly); $\lvert\text{flow}\rvert \leq 0.5\times\text{TNA}$ | point-in-time classification |
| Prices | CRSP VW/EW, S&P 500, 10y Treasury — **same-day** | daily |

Composition (2006–22 audit): 27,689 classified funds — 924 gov bonds, 1,930 corporate bonds, 701 REITs, balance equity classes. Caption: the data slide; every number is from the corrected pipeline.

# 8. Hypothesis A (the main one)

**$H_A$: rate news and economy news move fund flows differently**

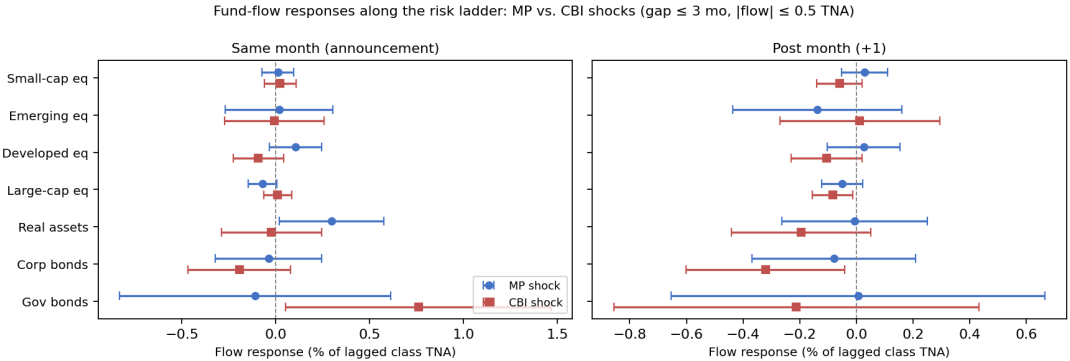
$$\text{Flow}_{c,t} = \alpha + \beta_1 \,\text{MP}_t + \beta_2 \,\text{CBI}_t + \gamma' \text{Controls}_{c,t} + \varepsilon_{c,t} \tag{1}$$

Wald test: $\beta_1 = \beta_2$ within each asset class, for Same / Post / Diff windows.

- Controls: log lagged class TNA; 12-month flow volatility
- Ex ante: $\beta_2 \neq \beta_1$ in safe assets (flight to safety on information revelations)
- This is current H4 — the strongest result in the paper, now promoted to lead

Caption: Hypothesis A stated with its test, before any numbers.

# 9. Result A: the two shocks do move money differently




- Same month: gov bonds +0.76 on CBI ($p = 0.037$), $\approx 0$ on MP; Wald $p = 0.098$
- Post month: **corporate bonds** $-0.32$ **($p = 0.026$)**, large-cap equity $-0.08$ ($p = 0.022$) on CBI
- Diff window: gov bonds $-0.99$ ($p = 0.014$) — the safe-asset inflow is *temporary*; de-risking follows

# 10. Hypothesis B: flows shift along the risk ladder

**$H_B$ (revised): information revelations trigger *de-risking***

$$\text{Risk}_c \times \text{CBI}_t : \quad \beta_4 < 0 \tag{2}$$

Pooled panel over the 7-class ladder (rank 1 = gov bonds …7 = small-cap equity).

- Found: $\beta_4 = -0.066$ ($p = 0.036$); gap-free variant $-0.114$ ($p = 0.002$) — same sign, $\sim$40% larger
- Risk×MP is flat ($p = 0.88$): policy actions do not reorder the ladder
- **This is a direction reversal** of the original proposal (risk-seeking) — reported as found; intraday flows would discriminate "prediction wrong" vs. "monthly masks faster reallocation"

Caption: Hypothesis B with the revised sign, the evidence, and the honest caveat.

# 11. Hypothesis C: wording matters for prices only under forward guidance

## A real forward-guidance sentence (Aug 9, 2011 statement)

"…are likely to warrant exceptionally low levels for the federal funds rate **at least through mid-2013**."

- Regression: same-day CRSP VW $\sim$ shocks $\times$ FG regime
- **Found:** tone $\beta = -1.01$ per 100 net words ($p = 0.005$), model $R^2 = 32.8\%$ ($N = 56$) in FG; $p = 0.35$ outside. When rates are stuck, words are the tool.
- Caveat: tone itself is not significantly linked to either shock ($p = 0.36$) — it works as language, not as a shock proxy

## What this changes

This result was buried mid-deck; it is now the second contribution. It survives every correction made in the October audit.

Caption: Hypothesis C (current H3) with one genuine statement quote and the surviving result

# 12. Timing: who trades first? (optional)

- Prices move on the announcement day; flows adjust over the following month
- Consistent with fast institutions repricing and slower retail money following
- Same-month gov-bond inflow reverses by +1 month (Diff $-0.99$, $p = 0.014$): the safe-asset bid is transient, the de-risking is not
- Next step: intraday/weekly flow data to order the two margins directly

Caption: the timing page — prices first, portfolios later, and the one-month reversal.

# 13. What I'm fixing, and the plan

| Item | Action | Status |
|---|---|---|
| Sample | Statements-driven, 161 meetings, 2006–2026 | **done** |
| Returns | Same-day CRSP, percent units | **done** |
| Statement texts | Body-only; 2 documents re-fetched | **done** |
| Flows | WRDS re-run, point-in-time classes, gap rule | **done** |
| Outlier rule | $\lvert\text{flow}\rvert \leq 0.5\times\text{TNA}$ (replaces no-op filter) | **done** |
| Pseudo B–S step | Removed; shocks in native form | **done** |
| LLM measure | Rebuild to read statement text (current score does not) | in progress |
| Dictionary | Scale LM/CB lists to stated sizes | in progress |
| Robustness | Bauer–Swanson (real), intraday shocks | planned |

Caption: the audit-fix table; everything above the line is already in these slides.

# 14. Contributions, again, in three lines

1. First evidence that **rate news vs. economy news move mutual-fund money differently** — safe-asset inflows on information shocks, de-risking along the ladder
2. **Tone matters only under forward guidance** — statement language prices only when rates cannot
3. A **corrected, reproducible pipeline** — and an interactive research platform — behind every number shown today

Caption: the recap — what a reader should take away, matching slide 4.

# 15. Thank you

## Backup available on request

Null results (tone–surprise regressions, incremental $R^2$) · robustness across gap rules and caps · variable construction tables · data-corrections appendix

**What Moves Money: Rate News vs. Economy News**

161 FOMC meetings, 2006–2026 · CRSP mutual funds · all numbers reproducible

# Backup B1: null results, stated plainly

| **Hypothesis** | **Result on corrected data** |
|---|---|
| Tone $\sim$ Target/Path (current $H_1$) | $\beta_T = +0.08$ ($p = 0.36$), $\beta_P = +0.01$ ($p = 0.92$); Wald(Target=Path) $p = 0.59$. Tone is descriptive. |
| Incremental $R^2$ (current $H_2$) | +0.16 pp ($p = 0.64$), 2006–2022; +0.82 pp ($p = 0.26$) full sample. Earlier marginal significance came from next-day alignment. |
| Implication | These are reported as nulls; the paper leads with flows (H4/H5) and FG (H3), where the data are strong. |

Caption: the nulls, so the meeting never discovers them unannounced.

# Backup B2: robustness across flow specifications

| | **Gap-free, cap 1.0** | **Gap $\leq$ 3 mo, cap 0.5 (main)** | **Reading** |
|---|---|---|---|
| Gov bonds, CBI (same) | $+1.13$ ($p = 0.010$) | $+0.76$ ($p = 0.037$) | same sign |
| Corp bonds, CBI (post) | — | $-0.32$ ($p = 0.026$) | de-risking |
| Risk$\times$CBI | $-0.114$ ($p = 0.002$) | $-0.066$ ($p = 0.036$) | same sign |
| MP$\times$ZLB | $-0.96$ ($p = 0.12$) | $-1.51$ ($p = 0.005$) | sharper under the cap |

Caption: signs and significance are preserved; magnitudes shrink $\sim$40% under the measurement-error fix.

# Backup B3: variable construction

| **Variable** | **Construction** |
|---|---|
| Target / Path shock | FF / ED futures in a narrow window around 2:00pm FOMC releases (GSS 2005) |
| MP / CBI split | Sign restriction on same-day equity return (JK 2020 logic), 91 MP / 60 CBI meetings |
| Tone | LM hawkish minus dovish, per 100 words, body-only statement text |
| $\text{Flow}_{c,t}$ | $\sum_f \left[\text{TNA}_{f,t} - \text{TNA}_{f,t-1}(1 + r_{f,t})\right] / \sum_f \text{TNA}_{f,t-1}$ within class $c$ |
| FG regime | Dec 16, 2008 – Dec 15, 2015 (calendar-based; robust to date-based definitions) |
| ZLB regime | Mar 15, 2020 – Jan 26, 2022 |

Caption: every variable, one line each.